

Retention Playbook

Business Recommendations — Customer Segmentation Analysis

June 2026 | Based on 3,900+ customer records

Executive Summary

This playbook translates customer segmentation findings into two actionable brand strategies: a Promotional Sunset Plan and an Ideal Customer Profile (ICP). Each recommendation names the target segment, explains the trade-off clearly, and specifies the metric to track success.

The analysis identifies four behavioural segments across three value tiers. The core finding is that approximately one-third of the customer base is promo-dependent with low loyalty value, while a smaller, high-value cohort purchases at full price with no deal incentive whatsoever. The recommendations below are designed to protect the latter and reduce cost on the former.

Segment Overview

Segment	Purchase History	Promo Dependency	Value Score	Recommendation
Loyal — No Deals	≥15 purchases	None	Highest	Protect
Loyal — Deal User	≥15 purchases	High	Mid-High	Reduce
Discount Hunter	<15 purchases	~100%	Lowest	Stop
Low Engagement	<15 purchases	Low	Low	Monitor

Part 1: Promotional Sunset Plan

The following recommendations identify which segments to gradually stop discounting, with specific triggers, rollout timelines, and success metrics for each.

Segment 1: Discount Hunter — Stop Discounting

Discount Hunters have fewer than 15 prior purchases and near-100% promo/discount dependency. Discounts are the only reason they transact. The margin is being spent to acquire customers who will not stay, making this the highest-priority segment for promotional removal.

Key Statistics

▶ ~100% promo rate	▶ Low avg spend
▶ Lowest value score tier	▶ No subscription

Rollout Timeline

- Month 1: Freeze all new promo code issuance to this segment
- Month 2–3: Run a 60-day blackout — no promo emails, no discount popups, no triggered offers
- Month 3 review: If purchase rate drops >30%, accept churn — these customers were unprofitable

Trigger Behaviour

Any customer with fewer than 15 prior purchases who has used a promo code or received a discount on their most recent purchase. This is the behavioural signature that flags promo dependency before loyalty is established.

Success Metrics

▶ Margin per order (target: +8–12%)	▶ Segment churn rate (acceptable: up to 30%)
▶ Promo redemption rate (target: 0%)	▶ Overall revenue (monitor weekly for 30 days)

Trade-off: You will lose a portion of these customers. That is acceptable — the margin impact is small because average spend is low and promo cost was high. The risk is if this segment is larger than data suggests. Monitor overall revenue weekly for the first 30 days to catch any unexpected impact on the broader base.

Segment 2: Loyal — Deal User — Reduce Discounting

Loyal Deal Users have 15 or more prior purchases but rely on promos or discounts to transact. These customers are genuinely loyal but have been trained to expect a deal. Abrupt removal risks alienating your second-best segment, so the strategy is gradual detox rather than cold turkey.

Key Statistics

▶ ≥15 prior purchases	▶ Discount or promo on most recent purchase
▶ Mid-high value score	▶ Mixed subscription status

Rollout Timeline

- Q1: Replace flat-percentage discounts with a loyalty points system — perceived value stays, margin improves
- Q1: Cut promo frequency by 50%

- Q2: Cut promo frequency to 75% reduction from baseline
- Q3: Subscription conversion push — subscribed Deal Users lose promo dependency over time

Trigger Behaviour

Any customer with 15 or more prior purchases who has used a promo code or discount. Subscription status should be cross-referenced — non-subscribed Deal Users are the highest-priority targets for conversion, as subscription creates habitual full-price purchasing.

Success Metrics

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|--|---|
| <ul style="list-style-type: none"> ▶ Subscription conversion rate (target: +15% in 6 months) ▶ Purchase frequency without promo (target: no decline) | <ul style="list-style-type: none"> ▶ Avg order value delta (target: neutral to positive) ▶ Loyalty points redemption rate |
|--|---|

Trade-off: Some customers will churn if discounts drop too fast. The loyalty points buffer protects against this — it maintains the feeling of a deal without direct margin erosion. Plan for a short-term dip in repeat purchase rate in months 2–3 and factor this into revenue forecasts before presenting results.

Segment 3: Loyal — No Deals — Protect

Loyal No-Deal customers have 15 or more prior purchases, have never used a promo code, and have never received a discount. They carry the highest value scores in the base. The recommendation is to protect this segment by never introducing discount incentives that could train them to expect deals they currently do not need.

Recommended Actions

- Invest in non-discount retention: early access to new collections, priority customer service, exclusive category previews
- Run subscription nudge campaigns — this group converts well and subscribed members score higher on the value index
- Do not include this segment in any promotional blast, even blanket seasonal campaigns

Trade-off: Exclusive perks have a cost. The risk of under-investing is greater than over-investing here — losing a single Loyal No-Deal customer costs significantly more in lifetime value than the perk spend required to retain them. Err on the side of investment.

Part 2: Ideal Customer Profile

The ICP is derived from the Loyal — No Deals segment, filtered to the top-performing customers by value score (based on Q5 of the SQL analysis). It is specific enough for a

performance marketing team to use for lookalike audience creation, creative briefing, and channel strategy today.

Demographic & Behavioural Profile

Attribute	Profile
Gender	Male skew (consistent across top-value cohort)
Age range	36–55 (peak value score concentration in this band)
Purchase frequency	Weekly or Bi-weekly
Product category	Clothing and Footwear (highest avg purchase history)
Payment method	Credit card (signals higher purchase intent and basket size)
Active season	Fall and Winter
Subscription status	Subscriber or strong conversion candidate
Promo history	Zero — no promo code ever used, no discount ever applied
Prior purchases	15 or more (loyalty established before analysis period)

Behavioural Signature

The defining characteristic of this customer is purchase behaviour that is entirely self-motivated — no external discount trigger, no seasonal promo, no urgency nudge. They purchase at full price, across multiple seasons, with consistent frequency. This is the behaviour to replicate through acquisition targeting.

Targeting Implications

Lookalike audiences

- Seed with Customer IDs from the Loyal — No Deals segment only
- Suppress Discount Hunters explicitly — they will match on surface demographics but not on value
- Apply a 1–3% similarity threshold to preserve behavioural specificity

Creative angle

- Lead with quality, exclusivity, and longevity — not sale messaging, urgency, or limited-time offers
- Category imagery should reflect Clothing and Footwear with a Fall/Winter seasonal tone
- Subscription-forward messaging resonates with this profile — frame membership as access, not savings

Channel fit

- Higher-intent placements: branded search, email to existing customer list, retargeting
- Deprioritise broad social prospecting — the ICP is narrow and targeted placements outperform reach
- Credit card affinity targeting is available on most DSPs and aligns directly with payment behaviour

Trade-off: This profile skews older and male — a narrower audience than the full customer base. Precise targeting will reduce reach and may increase CPM. The bet is that each acquired customer's lifetime value justifies the higher acquisition cost. Validate with a 90-day cohort comparison against a broader acquisition campaign before scaling budget.

Appendix: Segment Definitions

Segments are assigned based on two behavioural dimensions: purchase history depth and promotional dependency.

Segment	Purchase History Condition	Promo / Discount Condition
Loyal — No Deals	Previous Purchases ≥ 15	Promo Code = No AND Discount = No
Loyal — Deal User	Previous Purchases ≥ 15	Promo Code = Yes OR Discount = Yes
Discount Hunter	Previous Purchases < 15	Promo Code = Yes OR Discount = Yes
Low Engagement	Previous Purchases < 15	Promo Code = No AND Discount = No

Value Score is a composite index (0–100) weighted across: Purchase Amount (25%), Previous Purchases (30%), Purchase Frequency (20%), Review Rating (15%), Subscription Bonus (+10), Promo Penalty (–5), Discount Penalty (–5). Scores are min-max normalised before weighting.